

BGIN Meeting Report

Date: 2026/03/11

Location: Virtual Meeting

Executive Summary

The meeting focused on the progress and implications of a stablecoin research paper, which is set to be published shortly. The discussion centered around the Wharton toolkit's taxonomy for stablecoins and how it compares with the working group's analytical framework. Key points included the potential novel systemic risks associated with synthetic hedged products, regulatory challenges in cross-border supervision, and the political implications of global coordination efforts. The meeting concluded with updates on ongoing projects and a proposed restructuring of the working group to be more project-driven.

Key Discussion Points

- **Wharton Toolkit vs. Working Group Framework:**
 - The Wharton toolkit introduced a taxonomy for stablecoins based on stabilization mechanisms, which was seen as a valuable contribution.
 - The working group's framework includes political and financial considerations, acknowledging the historical context of cryptocurrency regulation.
 - There was a discussion on the novel systemic risks associated with synthetic hedged products, which are not yet well understood or regulated.
- **Regulatory Challenges:**
 - Cross-border supervision and mutual recognition were highlighted as ongoing challenges. The lack of global coordination has led to significant exposures, such as Tether.
 - The concept of passporting was discussed, with concerns about the asymmetry in liquidity and currency strengths between jurisdictions.
- **Emerging Trends:**
 - The use of stablecoins for payments, particularly on platforms like Tron, was noted. There is a hidden circulation of global stablecoins in jurisdictions where they are not officially recognized.
 - The potential impact of new protocols and the future competition with US dollar-denominated stablecoins were also discussed.
- **Project Updates:**
 - The stablecoin research paper is nearing completion, with final edits due by the end of the week.

- A core member update was provided on a working paper led by Professor Morishita, which aims to influence regulatory guidelines in Japan.
- The working group may restructure to be more project-driven after the stablecoin paper's publication.

Action Items and Next Steps

- **Stablecoin Paper:**
 - Finalize the stablecoin research paper with potential additions about novel systemic risks.
 - Ensure all contributing authors are named before uploading to SSRN, pending Shin'ichiro's approval.
- **Wharton Toolkit Integration:**
 - Consider incorporating the Wharton taxonomy and its implications into future discussions and research.
 - Explore the toolkit's recommendations on yields and global coordination.
- **Working Group Restructure:**
 - Discuss the proposed project-driven structure at the next joint call on the 25th.
 - Mitchell will flag this for discussion on discourse to gather feedback from all members.
- **Recording and Transcripts:**
 - Confirm with Professor Matsuo the appropriate channel for sharing Block 14 recordings.
 - Ensure summaries of stakeholder insights are available for research purposes.

Detailed Session Summary

The meeting began with a discussion on whether to proceed with a presentation on stablecoins, given the small turnout. The decision was made to continue due to the timely nature of the content and the upcoming publication of the stablecoin paper. The Wharton toolkit's taxonomy was introduced, which categorizes stablecoins by stabilization mechanisms into four categories: off-chain collateralized, programmatic, algorithmic, and synthetic.

The working group's framework was then compared with the Wharton toolkit. It was noted that while the Wharton taxonomy is more technical, focusing on stabilization mechanisms, the working group's framework includes political and financial considerations. The discussion highlighted the novel systemic risks associated with synthetic hedged products, which are not yet well understood or regulated.

Regulatory challenges were discussed, including cross-border supervision and mutual recognition. The concept of passporting was explored, with concerns about the asymmetry in liquidity and currency strengths between jurisdictions. It was noted that while global coordination is beneficial, it is a politically complex issue.

Emerging trends were also discussed, such as the use of stablecoins for payments on platforms like Tron and the hidden circulation of global stablecoins in jurisdictions where they are not officially recognized. The potential impact of new protocols and future competition with US dollar-denominated stablecoins was also considered.

Project updates included the nearing completion of the stablecoin research paper, with final edits due by the end of the week. A core member provided an update on a working paper led by Professor Morishita, which aims to influence regulatory guidelines in Japan. The working group may restructure to be more project-driven after the stablecoin paper's publication, with discussions planned for the next joint call on the 25th.

Finally, there was a discussion about sharing Block 14 recordings and ensuring summaries of stakeholder insights are available for research purposes. The meeting concluded with thanks and plans to meet again on the 25th.